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Separate the policy trade from the gilt-supply trade

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Call: Pass an unconditional cash 2s10s steepener. If the view is a bounded fall in front-end swap rates, price a receiver spread alongside the outright receiver before choosing the expression. Neither is shown to be cheap without a current volatility surface and executable premium.

What changed today

The Budget raises planned 2026-27 gilt sales from £246.2bn in April to £250.6bn. Planned long conventional issuance falls from £22.4bn to £15.5bn, while short and medium allocations rise. These are April-to-Budget comparisons, not a measured announcement surprise: intervening transfers also changed allocations. [1]

Less long-end supply can support long gilts relative to the front end. That can work against a cash steepener even if the policy view is right. Supply totals are face value, not duration supply; a proper estimate also needs issue-level maturities, QT and redemptions. This is a risk to the expression, not a forecast of flattening.

Price the expression, not just the direction

The latest downloaded BoE OIS curve is 2026-10-27. It produces a 4.953% synthetic 3m-forward, 2y annual-pay swap rate. An ATM/25bp-lower receiver spread buys a modest rally and sells the deeper-rally tail. It avoids cash-gilt supply exposure but retains swap-curve and volatility risk. [2]

Assumed normal vol (bp/√year)	Outright cost*	Spread cost*	Spread max gain*	Outright wins after rally*
60	11.97	8.57	16.43	28.40
80	15.96	9.48	15.52	31.48
100	19.95	10.06	14.94	34.89
120	23.94	10.45	14.55	38.48

*Rate bp, normalised by initial swap PV01. Same notional. Volatilities are an assumed sensitivity grid, not observed quotes. Premiums are model values before costs. Both legs use flat normal volatility; skew changes the comparison.

Decision conditions

At the illustrative 80bp normal-vol point, the spread costs 9.48 rate bp versus 15.96 outright. It saves 6.48bp, caps gross rally participation at 25bp, and the outright overtakes it beyond a 31.48bp rally. These are structure mechanics, not evidence for buying either option.

Next catalyst is the 5 November MPC. September CPI rose to 3.5%; the prior MPC split 6-3 to hold 3.75%, with three preferring a hike. Those facts do not establish an easing thesis. An inflation pass-through shock favours higher rates and can consume the full option debit. [3,4]

Before action: refresh the forward and both strike vols after the Budget; obtain bid/offer and settlement terms; substantiate the bounded-rally view. Pass if the thesis needs a large rally, premium exceeds the justified payoff budget, or costs remove the edge.

Data cut-off: curve 27 Oct; fiscal document 28 Oct. No post-Budget market reaction is claimed. Sources and calculation conventions on page 2.

Calculation and evidence

Illustration conventions

Expiry T = 0.25 years; underlying tenor = 2 years; annual fixed payments at T+1 and T+2; ACT/365-style model times without business-day adjustments. Interpolate continuously compounded zero rates linearly. $D(t)=\exp(-z(t)t)$; $A=D(T+1)+D(T+2)$; $F=[D(T)-D(T+2)]/A$. No extrapolation.

This synthetic schedule is not an executable market-standard swaption. Exercise settlement, calendars, payment lag, collateral, curve construction and cash-settlement annuity need agreement before pricing a real instrument.

On £100m notional, initial PV01 is £18,431.33/bp. A 1bp normalised result multiplies by this amount. Holding A fixed, Bachelier receiver value is $N\,A\,[(K-F)\Phi(d)+\sigma\sqrt{T}\,\varphi(d)]$, $d=(K-F)/(\sigma\sqrt{T})$. Spread value is the ATM receiver less the receiver struck 25bp lower.

Expiry comparison at the assumed 80bp vol point

Underlying rate shift (bp)	Linear receiver*	ATM receiver*	25bp receiver spread*
-75	75.00	59.04	15.52
-50	50.00	34.04	15.52
-25	25.00	9.04	15.52
-10	10.00	-5.96	0.52
0	0.00	-15.96	-9.48
25	-25.00	-15.96	-9.48
50	-50.00	-15.96	-9.48

*Present-value-equivalent rate bp at expiry using frozen initial annuity. The linear benchmark is a forward-starting receive-fixed swap at F. Options deduct upfront premium on the same PV basis; actual terminal cash requires financing conversion. No early exit, dynamic hedge, transaction cost or probability-weighted expected return is modelled. The options and swap have different initial delta and maximum loss.

Initial risk at £100m, assumed 80bp normal vol

Outright forward-rate delta: -0.500 × PV01; spread: -0.234 × PV01. A 1bp rise therefore loses approximately £9,216 outright and £4,313 on the spread, holding annuity and vol fixed. Parallel normal-vol vega per +1bp/√year is £3,677 outright and £652 on the spread. These are partial derivatives, not full curve risks.

Sources and reproducibility

[1] HM Treasury, Budget 2026, §8.3 and Table A.1, published 28 Oct 2026. Budget document.

[2] Bank of England, latest daily yield-curve archive downloaded 28 Oct 2026; OIS observations through 27 Oct. Curve methodology and data. File hash retained with inputs. Fitted curves are indicative and revisable, not dealer quotes.

[3] ONS, Consumer price inflation, UK: September 2026, 21 Oct 2026. Release. [4] Bank of England, September MPC minutes and calendar.

Sourced: curve, fiscal totals, CPI and MPC facts. Assumed: expiry/schedule, volatility grid and 25bp spread width. Derived: premiums, sensitivities, payoffs and crossovers. No subjective probabilities or implied-vol calibration. Independent research, not Deutsche Bank research or a record of a client trade.